

Continuous Service Relationship *with Netflix*



Understanding Customer-Brand Relationships:

A Qualitative Study of One Netflix Subscriber

This study explores how customers develop relationships with brands and services, specifically focusing on long-term (more than 3 months) Netflix subscribers. The goal is to understand their experiences, brand loyalty, and evolving perceptions over time through a qualitative interview approach.

Relationship Context

PARTICIPANT BACKGROUND

Participant is a long-term Netflix subscriber (roughly 10 years).
Enjoys long-running TV series, action/adventure, and shared experiences with spouse.

RELATIONSHIP OVERVIEW

High trust in Netflix due to ad-free experience and superior user interface.
Maintains subscription despite low usage at times.

ANNOTATION

Participant has an emotional and functional connection with Netflix, rooted in early adoption and loyalty. Shared experiences (e.g., watching movies with spouse) further strengthened the relationship.

Key Touchpoints and Interactions

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1. DISCOVERY

“Netflix was the first platform that really started streaming.”

Motivation: Early adopter due to first-mover advantage and ad-free experience.

Key Insight: Initial loyalty driven by Netflix’s innovation and simplicity.

2. ENGAGEMENT

“I could binge-watch without ads — that was a game-changer.”

Features Loved: Binge-watching without ads, personalized recommendations, easy navigation and smooth playback.

Key Insight: High engagement due to frictionless streaming and content curation.

3. TRUST BUILDING

“Stranger Things and original content hooked me.”

Trust Drivers: Quality original content (e.g., *Stranger Things*).

Key Insight: Trust deepened over time through curated and original content.

4. CHALLENGES AND CONFLICTS

“Price increases are making me reconsider my subscription.”

Challenges: Rising subscription costs, concerns over account-sharing policies.

Key Insight: Price sensitivity is a key factor that could lead to cancellation.

5. RETENTION DECISION

“I imagine I’ll have Netflix for a long time, but price hikes could change that.”

Loyalty Factors: Emotional ties, trust in quality content, ad-free convenience.

Key Insight: Emotional connection and functional ease sustain loyalty despite price concerns.

ANNOTATION

Outlines the participant’s evolving relationship with Netflix, from discovery to potential cancellation considerations. The emotional connection and platform convenience are major loyalty drivers, but price increases pose a significant risk.

Relationship Dynamics

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TYPE OF RELATIONSHIP

 Entertainer

EMOTIONAL CONNECTIONS

Shared movie nights during early dating phrase.
Emotional reactions to content (*Love on the Spectrum*, documentaries).

PERCEIVED BRAND PERSONALITY

Participant described Netflix as “*people-pleasing*”.
Seen as reliable and consistent.

ANNOTATION

The participant personifies Netflix as an “*entertainer*,” highlighting the emotional connection formed through shared experienced and meaningful content. Emotional moments further strengthen this bond.

Trust and Commitment

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TRUST EVOLUTION

“I trust they will provide what I’m looking for.”

Key Insight: Trust has increased over time due to consistent user experience.

COMMITMENT LEVEL

High — *“I imagine I’ll have Netflix for a long time.”*

Key Insight: Keep subscription even during periods of low usage.

ANNOTATION

The participant’s trust has strengthened over time, driven by Netflix’s reliability and consistent content quality, resulting in long-term commitment.

Challenges and Conflicts

PRIMARY CHALLENGE

“If it jumped to \$30 a month or higher, I would cancel.”

Key Insight: Price increases are concerning.

ADDITIONAL CONFLICTS

Considers the cost high compared to bundled alternatives (e.g., Disney+, Hulu).

Potential frustration with account-sharing policies.

ANNOTATION

Price sensitivity emerges as a key conflict in the relationship with the brand, threatening long-term commitment despite trust and loyalty.

Future Outlook

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LIKELIHOOD OF CONTINUATION

Likely to continue unless prices increase significantly.

Retains subscription for convenience and emotional attachment.

POTENTIAL EXPANSION

Open to purchasing merchandise (e.g., show-themed apparel).

No interest in Netflix's gaming services.

ANNOTATION

The participant shows potential for brand expansion through merchandise but resists unrelated services (e.g., gaming)

Advocacy and Community Engagement

ADVOCACY BEHAVIOR

"I recommend certain movies or shows, but not Netflix as a platform."

Key Insight: Selectively recommends show, not the platform.

COMMUNITY ENGAGEMENT

Discusses content with friends or family.

Does not participate in online forums, discussions or social media platforms.

ANNOTATION

The participant's advocacy is content-driven, focusing on individual shows rather than promoting the platform itself.

Strategic Implications

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OPPORTUNITIES

Introduce branded merchandise to supplement revenue streams.

Leverage emotional connections through curated and long-running content.

Launch low-barrier social features (e.g., Watch Parties, Share & Recommend) to foster community engagement.

Implement tiered pricing models to offer flexibility and retain price-sensitive users.

RISKS

Continual price increases risk alienating long-term subscribers despite strong brand loyalty.

Account sharing continues to impact revenue, leading to potential subscription loss.

Over-diversification (e.g., games) risks diluting the core streaming experience for disinterested users.

ANNOTATION

Strategies should focus on preserving trust while exploring new revenue streams, like branded merchandise, without compromising the user experience. Emphasis on value perception is crucial to maintain loyalty amid rising competition and subscription fatigue.

Research Applications



QUALITATIVE & QUANTITATIVE

Measure the impact of ad-free experiences on customer loyalty.

Explore price sensitivity thresholds across broader user segments.

Analyze engagement levels with curated content playlists.

FURTHER INVESTIGATION

Assess interest in branded merchandise among different demographics.

Evaluate the effect of original content on long-term subscriptions.

Investigate the effectiveness of social features (e.g., *Watch Parties*) in fostering community engagement.

ANNOTATION

These insights can guide future surveys and experiments to test hypotheses drawn from the qualitative interview. Understanding these variables can help refine customer retention strategies and strengthen the brand-consumer relationship.

Appendix Notes – Coding Methodology

The following appendix presents raw codes derived directly from the participant’s responses. These codes capture nuanced insights and were systematically consolidated into broader themes, aligning with IA1’s core areas: Relationship Development, Brand Relationship, and Future Outlook.

Appendix

SAMPLE RESPONSES

"I like shows that have lots of seasons."

“Some are supernatural, some are like heist related.”

"If I'm with my wife, maybe horror and then maybe Bollywood."

“And romantic comedy. Some international films as well.”

“Netflix was the first platform that really started streaming.”

“Netflix never has any advertisements.”

“The search capabilities of Netflix are better than Hulu.”

“They offer original content as well.”

"I could start a show and pick off right where it started."

"It made recommendations based off of what I watched."

"I had the ability to skip the opening, which was really nice."

“They have a wide variety of content.”

"I like that it gives me about 10 seconds between episodes."

“I can pause it whenever I want and go back to it.”

INITIAL CODING

Prefers long-running shows

Enjoys action/adventure

Watches horror/romantic comedy with wife

Interest in international films

First major streaming platform

Ad-free experience

Superior search functionality

Original content as a draw

Smooth playback and interface

Personalized recommendations

Skip intro and autoplay features

Wide content library

Auto-play features

Pause and resume functionality

FINAL CODE

Content & Viewing Preferences

Discovery & Motivation

User Experience and Engagement

Appendix

<i>SAMPLE RESPONSES</i>	INITIAL CODING	FINAL CODE
<i>“I’ve had it for so long.”</i>	Long-term user	Commitment & Trust
<i>“I have really positive experiences with Netflix.”</i>	Positive user experience	
<i>“I might not use it much but I keep it for options.”</i>	Keeps subscription despite low usage	
<i>“My trust has increased with Netflix.”</i>	Increased trust over time	
<i>“They have done an amazing job knowing their audience.”</i>	Consistent content quality	
<i>“The price increases year over year has made me think about canceling.”</i>	Concern about price increases	Challenges & Concerns
<i>“If it jumped to \$30 a month or higher, I would cancel.”</i>	Price threshold for cancellation	
<i>“We deal with subscrip-toration, which is just an abundance of subscriptions without a lot of need.”</i>	Subscription overload concerns	
<i>“They should better monitor and limit account sharing.”</i>	Account sharing concerns	Emotional Connection & Community
<i>“We would watch movies together when I was dating my wife.”</i>	Shared experiences with spouse	
<i>“Netflix shows elicit strong emotional responses.”</i>	Emotional reactions to content	
<i>“It was really good for our talking part of our relationship.”</i>	Sentimental value from early relationship	

Appendix

SAMPLE RESPONSES

- “I talk about Netflix shows with friends and family.”
- “No, I haven’t participated in online discussions.”
- “I imagine I’ll have Netflix for a long time.”
- “The price going up is making me reconsider.”
- “No ads is a huge deal for me.”
- “I recommend certain movies or shows, but not Netflix as a platform.”
- “It depends on what they want to watch.”
- “I might be interested in merchandise.”
- “I’m not into mobile games.”
- “They should look into merchandise sales instead of raising prices.”
- “If it jumped to \$30 a month or higher, I would cancel.”
- “They should better monitor and limit account sharing.”

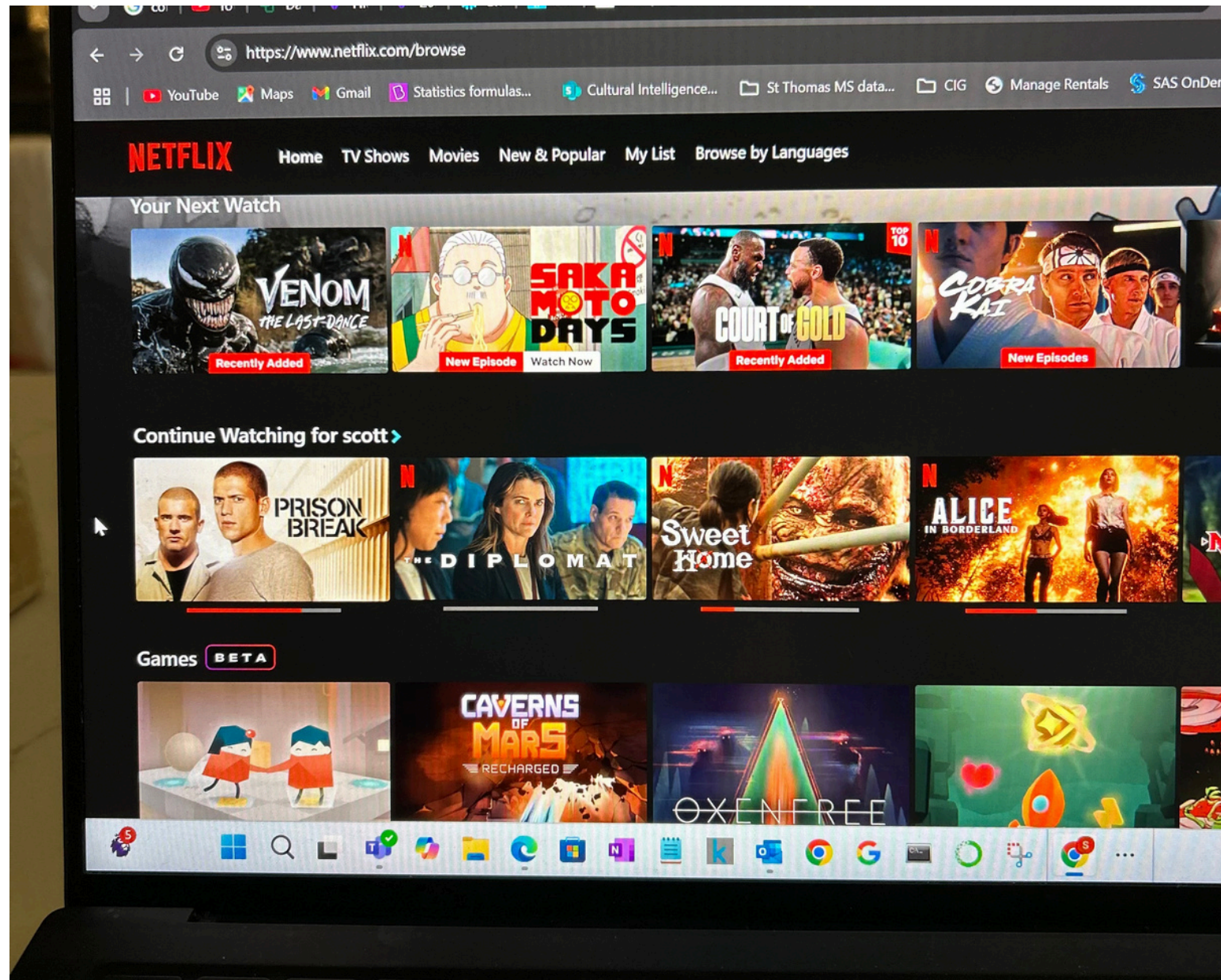
INITIAL CODING

- Discusses shows with friends/family
- No online community engagement
- Long-term commitment
- Price sensitivity
- Appreciation for ad-free model
- Selective advocacy
- Contextual recommendations
- Interest in merchandise
- No interest in games
- Suggests alternative revenue streams
- Clear price threshold for exit
- Account sharing as a concern

FINAL CODE

- Emotional Connection & Community
- Future Outlook & Advocacy
- Expansion Potential & Exit Triggers

Artifact



ANNOTATION

Context: Photo shared by the participant showing Netflix's personalized homepage, including recommended shows, watchlist, and gaming expansion.

Significance: Highlights how Netflix's recommendation engine aligns with the participant's content preferences while exposing gaps in new service engagement (e.g., games).

Insights: Your Next Watch → Reflects Netflix's recommendation algorithm.

Continue Watching → Highlights preferred genres (e.g., action, long-running shows).

Games (Beta) → Shows Netflix's expansion, but the participant expressed no interest (*"I am not into mobile games."*).